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# China Hongqiao (1378.HK)

1H26 Preliminary Profit After Tax +39% YoY, Slight Beat, Maintain Top Pick

## CITI'S TAKE

Hongqiao announced its 1H26 preliminary profit after tax expected to increase 39% YoY to Rmb18.8bn. Assuming MI covering 12% of profit after tax, in line with our full year forecast, we expect Hongqiao's 1H26 net profit at Rmb16.6bn, +34% YoY and +61% HoH. The preliminary 1H26 net profit covers 49% of Bloomberg consensus and 52% of our full year forecast, which is a slight beat. The company attributed YoY growth in 1H26 profit after tax to increasing aluminum price. We expect the strong earnings and cash flows could support dividends and share buybacks amid market volatility. Maintain Top Pick.

## Buy

|                             |                             |
|-----------------------------|-----------------------------|
| Price (10 Jul 26 16:10)     | HK\$20.74                   |
| Target price                | HK\$48.00                   |
| Expected share price return | 131.4%                      |
| Expected dividend yield     | 11.5%                       |
| Expected total return       | 143.0%                      |
| Market Cap                  | HK\$203,654M<br>US\$25,966M |

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

# China Hongqiao

## Valuation

Our target price for Hongqiao of HK\$48.0/sh is based on 13.0x 2026E PE, set at China peers average. Our target price implies 2.7x 2026E PB and 12.9x 2026E PE.

## Risks

Major risks that could impede Hongqiao from reaching our target price include: 1) cost and capex overruns; 2) higher-than-expected capacity addition in the industry; and 3) a significant slowdown in the Chinese economy.

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#### China Hongqiao (1378.HK)

Ratings and Target Price History  
Fundamental Research

Analyst: Jack Shang, CFA



|   | Date               | Rating | Target Price | Closing Price |
|---|--------------------|--------|--------------|---------------|
| 1 | 20-Aug-23 13:05:13 | 1      | *8.70        | 6.92          |
| 2 | 12-Dec-23 10:00:35 | 1      | *9.30        | 5.80          |
| 3 | 01-Apr-24 03:07:57 | 1      | *11.50       | 8.80          |
| 4 | 02-May-24 04:55:09 | 1      | *13.80       | 11.22         |

\*Indicates Change

|   | Date               | Rating | Target Price | Closing Price |
|---|--------------------|--------|--------------|---------------|
| 5 | 15-Oct-24 18:49:20 | 1      | *14.80       | 12.84         |
| 6 | 17-Jan-25 09:11:17 | 1      | *15.00       | 12.68         |
| 7 | 20-Mar-25 11:42:49 | 1      | *21.00       | 15.46         |
| 8 | 29-Jul-25 11:28:03 | 1      | *25.20       | 21.35         |

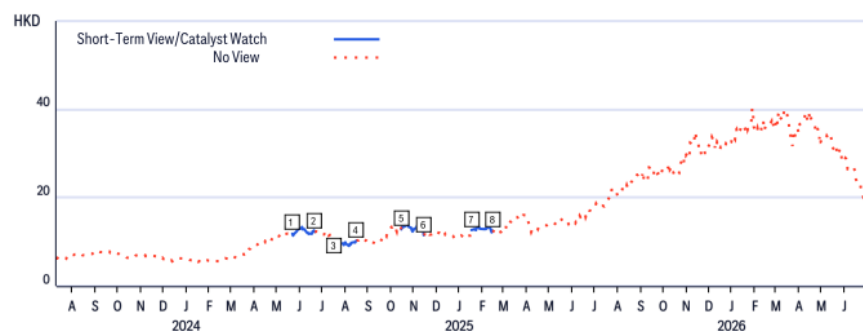
|    | Date               | Rating | Target Price | Closing Price |
|----|--------------------|--------|--------------|---------------|
| 9  | 04-Nov-25 04:34:03 | 1      | *36.00       | 29.68         |
| 10 | 08-Apr-26 10:07:49 | 1      | *48.00       | 37.36         |

Rating/target price changes above reflect Eastern Time

#### China Hongqiao (1378.HK)

Short-Term View/Catalyst Watch Research

Analyst: Jack Shang, CFA



|   | Date               | Action    | Expected Direction | Duration | Closing Price |
|---|--------------------|-----------|--------------------|----------|---------------|
| 1 | 22-May-24 04:40:28 | Add CW    | Upside             | 30 Days  | 11.84         |
| 2 | 21-Jun-24 00:25:11 | Remove CW | Upside             | 30 Days  | 12.22         |
| 3 | 16-Jul-24 14:50:56 | Add CW    | Downside           | 30 Days  | 10.64         |

CW - Catalyst Watch, STV - Short-Term View

|   | Date               | Action    | Expected Direction | Duration | Closing Price |
|---|--------------------|-----------|--------------------|----------|---------------|
| 4 | 16-Aug-24 00:12:32 | Remove CW | Downside           | 30 Days  | 10.32         |
| 5 | 15-Oct-24 14:49:20 | Add CW    | Upside             | 30 Days  | 12.84         |
| 6 | 14-Nov-24 22:28:30 | Remove CW | Upside             | 30 Days  | 11.52         |

|   | Date               | Action    | Expected Direction | Duration | Closing Price |
|---|--------------------|-----------|--------------------|----------|---------------|
| 7 | 17-Jan-25 04:11:17 | Add CW    | Upside             | 30 Days  | 12.68         |
| 8 | 16-Feb-25 22:14:31 | Remove CW | Upside             | 30 Days  | 12.58         |

Rating/target price changes above reflect Eastern Time

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|----------------------------------------------------------------------------|-----------------|------|------|----------------|------|------|
|                                                                            | Buy             | Hold | Sell | Buy            | Hold | Sell |
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